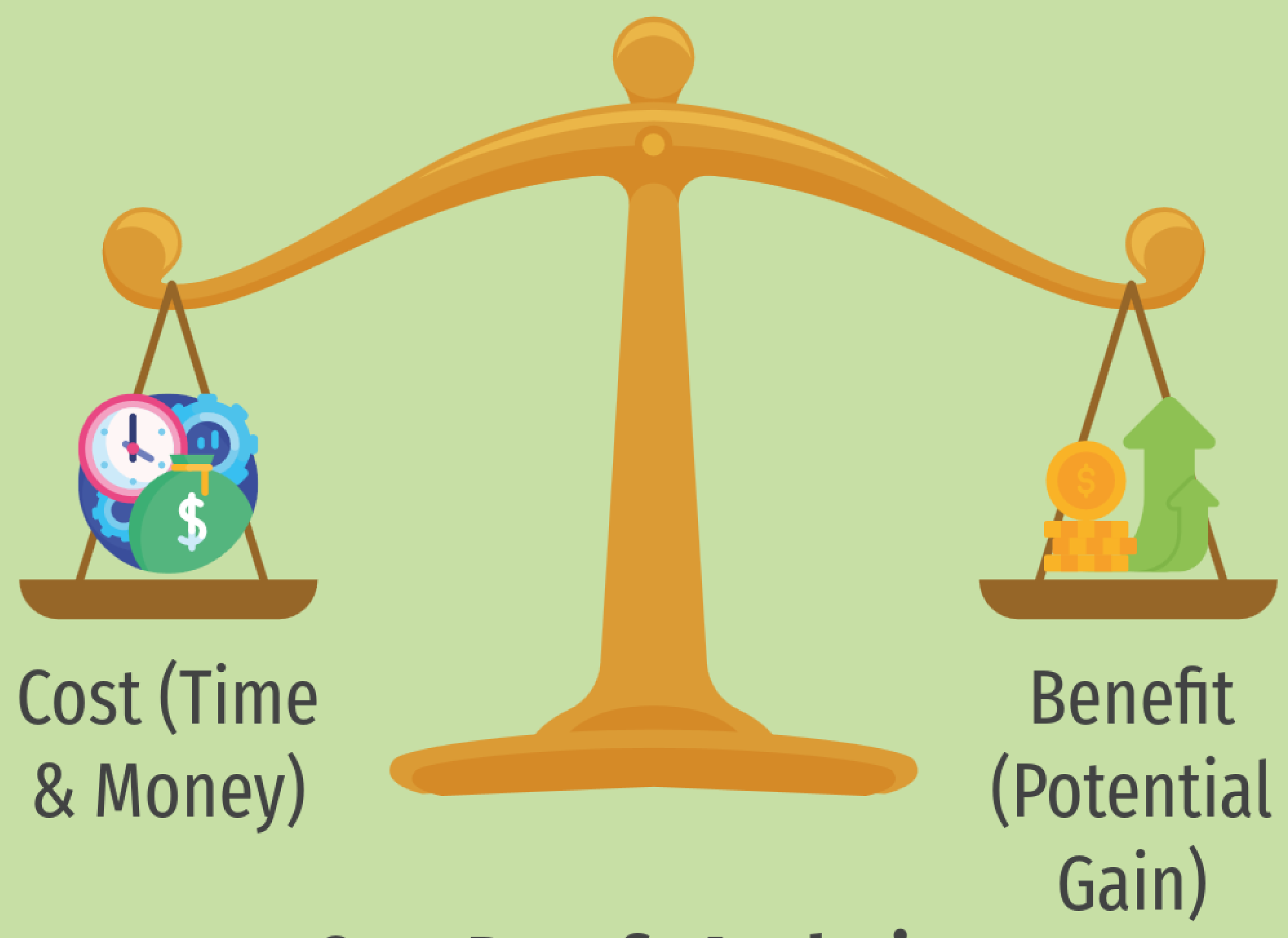
1. Cost-Benefit Analysis

Before making a decision, conduct a cost-benefit analysis to assess its impact on your resources. Consider the time, money, and effort required to execute the decision against the potential benefits.

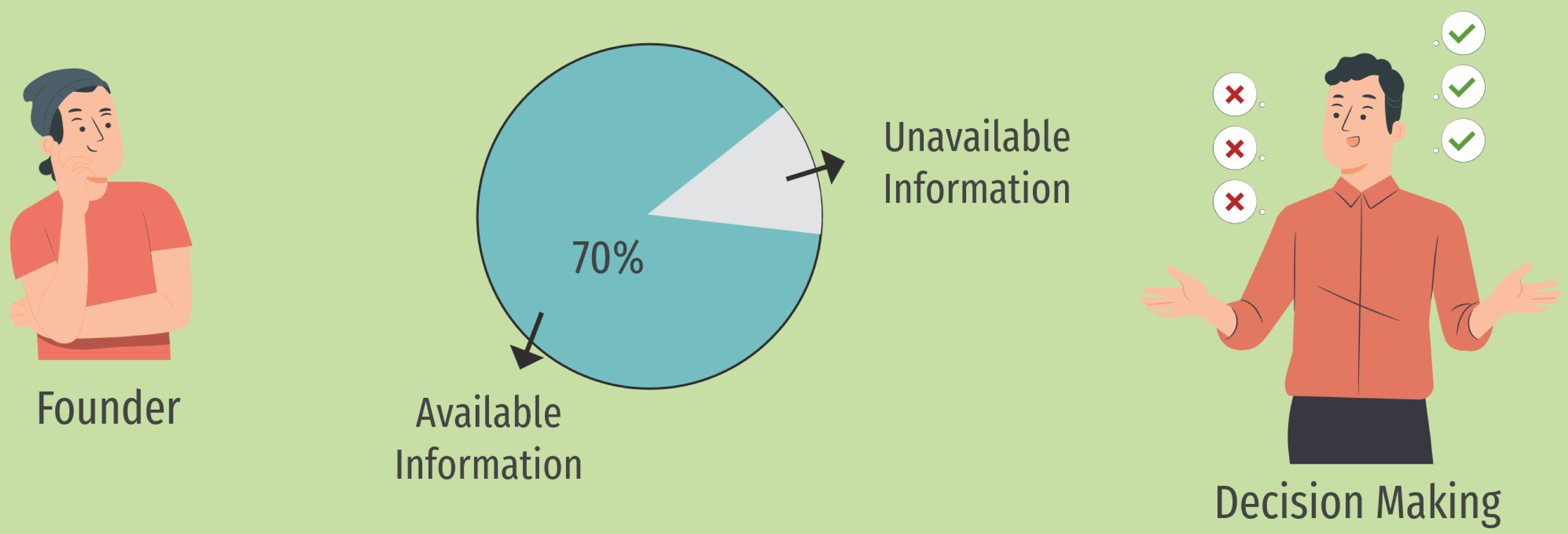
This approach helps ensure that your choices are efficient and sustainable in the long run.



Cost-Benefit Analysis

2. The 70% Rule – When to Decide Without Full Information

In fast-moving startups, waiting for perfect data can be a death sentence. Jeff Bezos follows the 70% Rule, which suggests that you should act if you have roughly 70% of the information needed to make a decision. Waiting for complete certainty slows you down and gives competitors time to overtake you.



The best founders understand the difference between reversible and irreversible decisions. If a decision can be undone, they move fast and experiment. If it's permanent, they tread more carefully. There will always be unknowns, but hesitation is often riskier than a well-calculated bet. Great founders don't wait for absolute clarity; they make the best choice with what they have, test quickly, and adapt.

3. Anticipate the Worst-case and Best-case Scenarios

While making decisions, consider both the worst-case and best-case scenarios. A cautious approach helps identify potential risks and challenges while assessing whether the rewards justify them. If the risks are manageable and the rewards substantial, you can proceed with confidence, leading to more informed decision-making.